

INTERNATIONAL RELATIONS



INDIA-UK - 02

MODULE - 47

BILATERAL TRADE

1 India is the third-largest source of FDI to the UK in terms of numbers of projects. India invests more in the UK than in the rest of Europe combined, emerging as the UK's third-largest FDI investor.

2 Britain is having investor-friendly environment with fast-tracked visa which had attracted Indian investors and made Britain, the most attracted investment destination of Europe (Investment increase by 65%).

3 The key sectors attracting Indian investment include healthcare, agritech, food, and drink.

4 Many Giant companies like Tata, Jaguar Land Rover had invested in Britain and gained profit.

5 As per trade statistics of MoC&I, India's trade with UK in 2017-2018 was US \$14.497 billion.



BILATERAL TRADE

6 India's main exports to the UK are articles of apparel & clothing accessories, power generating machinery & equipment, petroleum, petroleum products & related materials, miscellaneous manufactured articles, textile yarn, fabrics, made up articles, footwear, medicinal & pharmaceuticals, manufactures of metal, road vehicles and other transport equipment.

7 The main imports from the UK to India are power generating machinery & equipment, non-ferrous metals, ferrous ores & metal scrap, general industrial machinery and equipment & machine, transport equipment, beverages, electrical machinery and appliances & electrical parts thereof, professional, scientific and controlling instruments and appliances, chemical materials & products.

8 In November 2015, Prime Minister Modi has said, "As far as India is concerned, if there is an entry point for us to the EU, that is the UK."



ECONOMIC COOPERATION

- 1 India-UK Economic & Financial Dialogue (EFD) is another forum to strengthen economic ties between the countries
- 2 The UK-India Financial Partnership attempts to enhance ties between the Financial Services industries.
- 3 Both countries decided to cooperate on promoting Bangalore-Mumbai Economic Corridor(BMEC) project.
- 4 There is instance of 'reverse colonialism' in UK, with Indian MNCs employing UK nationals and contributing to the UK economy
- 5 According to 'UK-India skill pledge' UK companies assured skill development support to India.
- 6 To bolster tourism and trade links both countries signed sister airport agreement between IGI-Birmingham airport(UK).



ECONOMIC COOPERATION

During PM Modi's visit to the UK in November 2015-

- 1 Over \$3.5 billion of rupee-denominated bonds have been issued in London since July 2016 including by HDFS, NTPC and NHAI
- 2 Indian Railway Finance Corporation raised \$500 million through its first green bond.
- 3 Technical assistance for the redevelopment of Varanasi railway station under the Varanasi Smart City Development Plan was decided to be extended by UK.

- 4 To support the Start-up India initiative, UK decided to invest £160 million across 75 start-up enterprises, apart from an additional £20million for a Start-Up India Venture Capital Fund.

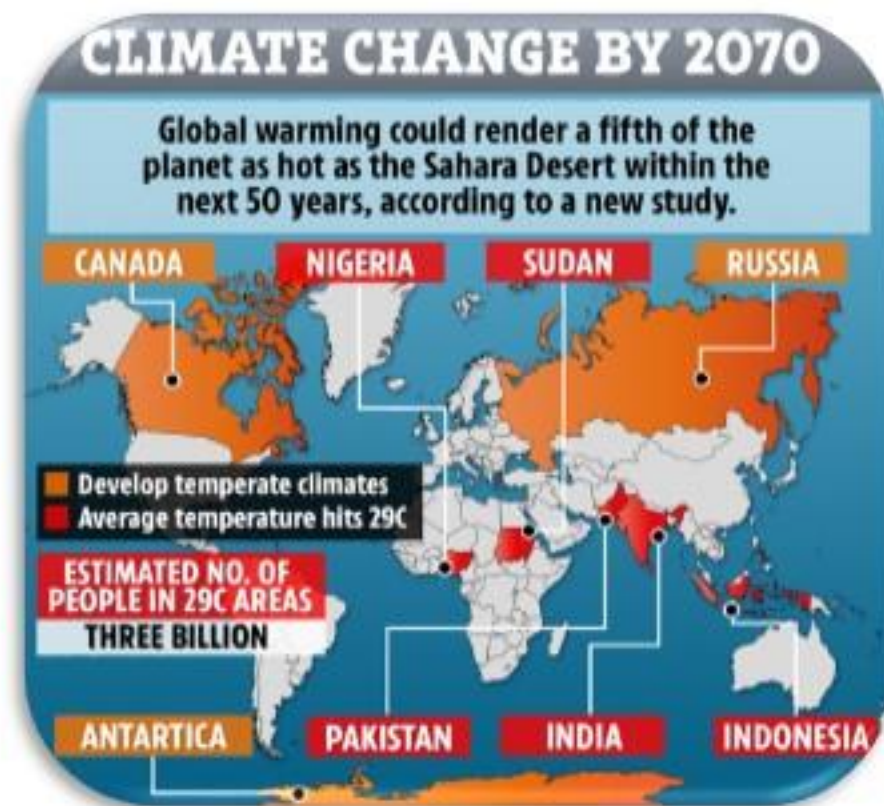


CLIMATE CHANGE

1 A joint statement on Energy and Climate Change cooperation was made to ensure cooperation to reduce fossil fuels consumption and focus on clean energy.

2 India and the UK have agreed on a comprehensive package of collaboration on energy and climate change which includes commercial deals worth £3.2 billion during Prime Minister Narendra Modi's visit to the UK.

3 The UK and India reaffirmed the importance of addressing climate change and promoting secure, affordable and sustainable supplies of energy that will support economic growth, energy security and energy access.



CLIMATE CHANGE

4 The package encompasses £3.2 billion of commercial agreements, joint research program and initiatives to share technical, scientific, and financial and policy expertise

5 This is aimed at encouraging the research, development and eventual deployment of clean technology, renewables, gas and nuclear.

6 In 2020, UK confirmed as the first co-chair of the Governing Council on the India-led global Coalition for Disaster Resilient Infrastructure (CDRI).

7 PM Modi established a coalition and a voluntary international grouping, linking governments, UN agencies, banks, private sector groups, and academia to develop the resilience of infrastructure systems relating to climate and disaster risks.



CLIMATE CHANGE

8 The Governing Council is the highest policy-making body of the CDRI, co-chaired by India and a representative of another national government nominated by rotation every two years.

9 "Delivering action on climate change remains a priority for the UK and I am sure that the UK-India partnership on climate action will help see progress on reducing emissions and help make India's infrastructure fit for the future," said Sharma.



CLIMATE CHANGE

10 Jan Thompson, Acting High Commissioner to India said, "This year is a crucial year for our climate, and I am confident that UK-India leadership on climate action can deliver substantial progress towards reducing emissions and helping to build resilience globally."

11 The initial focus will be on disaster and climate risk analysis and governance of infrastructure.

12 As part of other joint initiatives in the field of combating climate change, the UK highlighted its work through the Mahatma Gandhi National Rural Employment Act to build flood defences and river structures to encourage aquifer replenishment.



CIVIL NUCLEAR COOPERATION

Science and Technology sector is the fastest growing element of our bilateral relationship.

- 1 During the visit of PM Cameron to India in February 2013, negotiations on a Civil Nuclear Cooperation Agreement.
- 2 Both sides have also expressed interest in cooperation with regard to India in the Global Energy Partnership.
- 3 Both sides institutionalised a dialogue on non-proliferation and disarmament issues.
- 4 Britain has committed to make available to India the cutting edge British technology, civil and military, that the UK currently shares with its top international partners.



CIVIL NUCLEAR COOPERATION

5 Joint investment in UK-India research has grown from £1 million to over £200 million. During UK PM Theresa May's visit to India, a India-UK Clean Energy R&D Centre with a focus on solar energy storage and a collaborative R&D programme in energy efficient building materials was announced.

6 New research partnerships worth £80 million including a new Joint Strategic group on Anti-Microbial Resistance (AMR) with a joint investment of up to £13 million have also been established.



INDIA-UK CENTRE
FOR EDUCATION AND RESEARCH IN
— CLEAN ENERGY —

SCIENCE & TECHNOLOGY

- 1 India-UK signed the Science and Technology Agreement in 1996.
- 2 The Science and Innovation Council was set up in 2006.
- 3 Both sides are jointly working in the areas of nanotechnology, biotechnology, telecom, solar energy use and weather forecasting.
- 4 The co-investments made by both countries in supporting joint research activities has increased from £1 million in 2009 to over £150 million as on date.



SCIENCE & TECHNOLOGY

- 5 In March 2013, the two sides have signed India – UK Programme of Cooperation on Industrial Research and Development in March 2013.
- 6 In September 2011, the Letter of Arrangement (LOA) governing the India – UK collaboration in Defence Research & Technology was signed.
- 7 It has enabled defence scientists from both the countries to work together through a series of Collaborative Projects in the areas of mutual interest.



EDUCATION EXCHANGES

Education is an important plank of the India-UK bilateral relationship.

- 1 Bilateral mechanisms such as the India-UK Education Forum, UK-India Education and Research Initiative (UKIERI), Joint Working Group on Education, Newton-Bhabha Fund and Scholarship schemes have furthered exchanges in education.
- 2 The UK-India Education and Research Initiative (UKIERI) was set up in 2005.
- 3 This initiative has been able to link 475 schools and higher education establishments in the UK and India.
- 4 The three main strands of UKIERI initiative are: Higher Education & Research, Schools & Professional and Technical Skills.



UKIERI
UK-India Education
and Research Initiative

EDUCATION EXCHANGES

- 5 India-UK Education Forum was set up in 2008 to promote links between British and premier education institutions in India, including collaboration for the establishment of IIT Punjab, Indian Institute of Science & Education, Pune, one IIM and one Central University.
- 6 India-UK Education Forum holds regular meetings at Ministerial-level
- 7 35 British faculty members have visited India under the Global Initiative for Academic Network (GIAN) programme.
- 8 UK also supports the Skills India Mission and announced a fresh commitment of up to £12 million.



EDUCATION EXCHANGES

During the visit of Prime Minister to UK in November 2015, the following announcements relating to education were made:

- i 2016 was announced as the UK-India year of Education, Research and Innovation
- ii Virtual partnerships would be initiated at the school level to enable young people of one country to experience the school system of the other country and develop an understanding of the culture, traditions and social and family systems
- iii UK's plans for 25,000 UK students to go to India through the Generation UK programme by 2020, including 1000 UK interns with Tata Consultancy Services in India by 2020
- iv Launch of the 3rd phase of the UK India Education and Research Initiative.



EDUCATION EXCHANGES

INDIAN STUDENTS IN UK

- 1 India is the second largest source of students in UK.
- 2 PM Cameron during his visit to India in February 2013 reaffirmed that "Britain warmly welcomes Indian students to the UK".
- 3 Both sides expressed interest in further enhancing the mobility and exchange of students between India and the UK.



CULTURAL LINKAGES

1 Cultural linkages between India and UK are based on shared history between the two countries.

2 There has been a gradual mainstreaming of Indian culture and absorption of Indian cuisine, cinema, languages, religion, philosophy, performing arts, etc.

3 There are several Indian cultural organisations in the UK, which have been actively promoting Indian culture by involving the Indian Diaspora, British organisations and people.

4 The Nehru Centre is the cultural wing of the High Commission of India in UK which was established in 1992, and is currently one of ICCR's flagship cultural centres abroad.



The Nehru Centre London

CULTURAL LINKAGES

5 2017 was celebrated as the India-UK year of Culture to mark the 70th anniversary of Indian independence.

6 A Midnight Freedom Run was organized in London by the High Commission of India in the midnight hours of August 14-15, 2017 to commemorate of 70 years of India's independence.

7 Cricket is a great connect between the two countries.

8 Yoga has become very popular in the British society.



INDIAN DIASPORA

- 1** The Indian Diaspora in UK is one of the largest ethnic minority communities in the country, with the 2011 census recording almost 1.8 percent of the population and contributing 6% of the country's GDP.
- 2** During the visit of Prime Minister to UK, a community reception was organized on 13 November, 2015 at Wembley Stadium which was attended by over 60,000 persons of Indian origin.
- 3** Government of India awarded Pravasi Bhartiya Samman to British MP of Indian origin Priti Patel and British MEP of Indian origin Neena Gill in Bengaluru on 9 January 2017.
- 4** Prime Minister conversed with a gathering of Indian diaspora in a special event titled 'Bharat Ki Baat Sabke Saath' held at Westminster Central Hall, London on 18 April 2018.



PEOPLE-TO-PEOPLE TIES

1 During the visit of Prime Minister Cameron to India in February 2013, both sides reaffirmed to welcome all legitimate travellers; students, tourists, visitors, business people or qualified workers.

2 The two sides have agreed to continue their ongoing discussions on visa, migration and people mobility issues of concern regularly.

3 The two sides regularly discuss issues relating to visa and other matters in the Consular & Visa Dialogue.



BILATERAL TRADE

- Majority of Indo-UK trade is conducted by a small number of Indian companies.
- The BTIA (Bilateral Investment and Trade Agreement) which could provide further impetus to economic ties is pending due to contentious issues of Intellectual property, investor protection and dispute settlement mechanism and Indian access to wine and agricultural products.

TERRORISM

- India is concerned with Britain's approach towards Pakistan and reluctance to acknowledge its role in having safe heavens and spreading terrorism in the Afghan-Pak area.
- Hence security considerations affect India UK relations



IMMIGRATION

- In the education sector, Indian students being asked to return to their homes through their immigration policy. This has led to a reduced number of Indians studying in UK

TOTALIZATION AGREEMENT

- India does not have a totalization agreement with UK. Currently, as a part of their immigration policy, Indians working for a short-term are having to pay social security taxes out of their income.

Upon signing of the totalization agreement with the UK Indian professionals employed for a short time would be exempted in the UK from paying those social security taxes if they are paying such taxes in India.

Path of Negotiation

Need for Totalisation Agreement



Agreement between two countries to avoid double taxation for social security purpose are called 'totalisation agreement'

They ensure an employee does not face deduction both in the home country and the country where he works

LARGE DEDUCTIONS IN THE US

Nearly
3,00,000
H1-B visa
workers in
the US

They make nearly
\$2 billion
in social security
contributions each
year

They need to make contributions for 10 years before becoming eligible for benefits



**MOST OF
THESE
WORK-
ERS WILL
RETURN
BEFORE
THAT**

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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